

Jalostus by T. Lind - Generic Model of Value Addition

A General Method for Analyzing Organizational Structure, Operations and Value Creation

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Original development: 1999 Nedecon Oyj, 2001 onward, Endero Oyj e.t.all

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Original context: Hosting Business-theme

Model scope: Industry-independent

Abstract

THE GENERIC MODEL OF VALUE ADDITION IS AN INDUSTRY-INDEPENDENT FRAMEWORK FOR DESCRIBING AND ANALYZING ORGANIZATIONAL STRUCTURE, ECONOMIC ACTIVITY, AND VALUE CREATION. THE MODEL CONCEPTUALIZES THE ORGANIZATION AS A LARGE ECONOMIC SUMMARIZER, WITH EACH FUNCTION OPERATING AS AN ECONOMIC SUMMARIZER WHOSE RESULT IS DETERMINED BY INCOME, PURCHASE COSTS, AND REFINING. THUS, ORGANIZATIONAL PROFIT/LOSS IS REPRESENTED AS THE AGGREGATE OF FUNCTION-LEVEL ECONOMIC RESULTS.

THE MODEL INTEGRATES ORGANIZATIONAL FUNCTIONS WITH PRODUCT BUILD SCOPE AREAS TO SUPPORT ANALYSIS OF RESOURCE ALLOCATION, VALUE CREATION, AND PROFITABILITY ACROSS DIFFERENT LEVELS OF ORGANIZATIONAL ACTIVITY. IT DOES NOT REQUIRE INDIVIDUAL FUNCTIONS TO BE INDEPENDENTLY PROFITABLE; THEIR ECONOMIC CONTRIBUTION MAY ARISE THROUGH THEIR ENABLING EFFECT ON OTHER FUNCTIONS AND ON THE ORGANIZATION AS A WHOLE.

ORIGINALLY DEVELOPED FROM OBSERVATIONS OF IT SERVICE BUSINESS FROM 1999 ONWARD AND FIRST DOCUMENTED IN 2001, THE MODEL WAS FORMALIZED IN 2010 AS A GENERAL ORGANIZATIONAL ANALYSIS METHOD. THE ORIGINAL 2001–2003 PLANNING SCENARIOS FURTHER DEMONSTRATE ITS USE AS AN ITERATIVE MANAGEMENT TOOL: ORGANIZATIONAL ECONOMICS CAN BE DESCRIBED, SUMMARIZED, MODIFIED, AND RE-EVALUATED TO IDENTIFY POTENTIAL IMPROVEMENTS. THESE SCENARIOS ARE ILLUSTRATIVE AND SPECULATIVE RATHER THAN HISTORICAL ACCOUNTING DATA.

THE MODEL PROVIDES A BASIS FOR SYSTEMATIC ANALYSIS OF THE RELATIONSHIP BETWEEN ORGANIZATIONAL STRUCTURE, RESOURCE CONSUMPTION, REFINING, VALUE ADDITION, AND OVERALL PROFITABILITY, AND OFFERS A CONCEPTUAL FOUNDATION FOR FUTURE COMPUTATIONAL APPLICATIONS USING ACCOUNTING AND ORGANIZATIONAL DATA.

1. Introduction

1.1 Background

Jalostus by T. Lind, or the **Generic Model of Value Addition**, was developed from observations made in information-technology service business from 1999 onward. The model was first presented in written form to Fujitsu-Siemens Professional Services Finland business management on 15 August 2001 under the title *Hosting Business*.

The original purpose was to describe an organization's functions, their dependencies and their economic relationships.

The model subsequently developed into a more general method for describing and analyzing organizational structure, activities, costs, value creation and profitability.

1.2 General principle

Jalostus by T. Lind treats an organization as a collection of **functions**.

A function is an organizational area in which activities are performed. The model does not require a particular organizational structure: an organization may contain any selection and number of the model's functions.

The model is intended to be independent of what the organization produces. It can therefore be applied to **any organization whose activities can be analyzed in terms of resources, activities, value and economic flows, including non-profit and non-profitable organizations**.

1.3 Model perspective

The central perspective is not the physical nature of an output but the **value-adding activity performed by the organization**.

The organization can consequently be viewed as one large summarizer:

- economic input enters from above,
- individual functions perform their activities,
- funds are consumed by Purchase Costs and Refining,
- function-level results are summarized,
- and the organization's resulting Profit/Loss appears at the bottom.

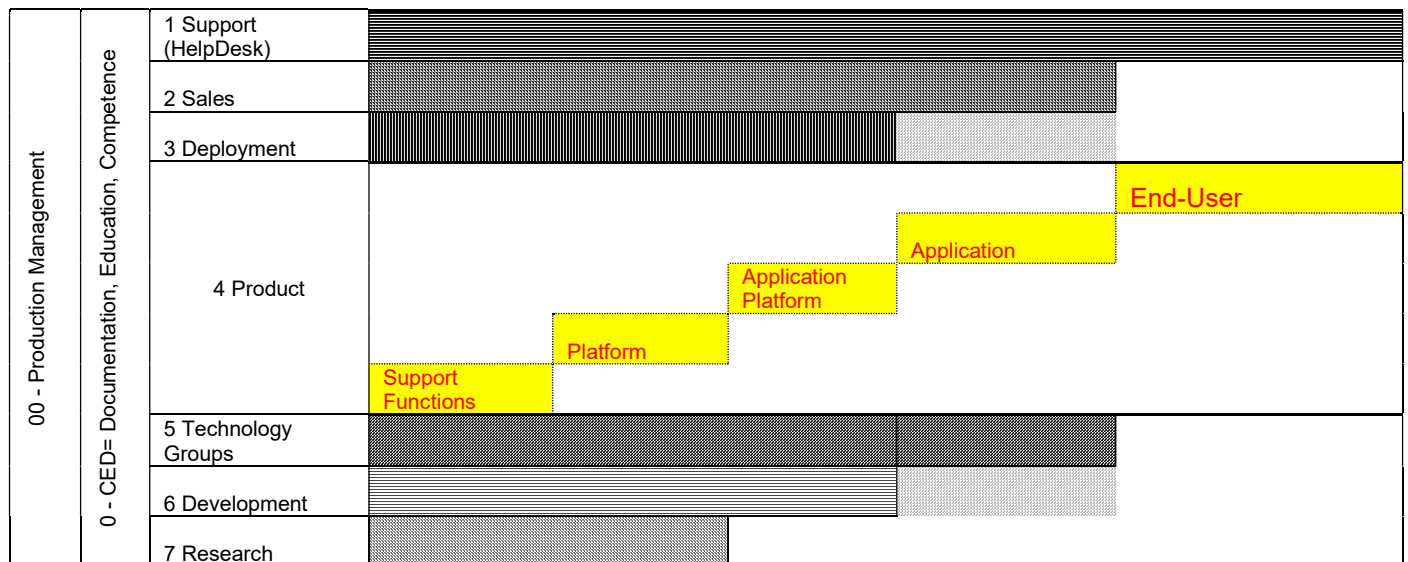
A negative result can correspond to a need for funding from the bottom rather than profit flowing out.

2. Organization and Functions

2.1 Canonical function structure

The functions are maintained in the following order:

No.	Function
00	Management
0	DEC — Documentation, Education, Competence
1	Customer Service
2	Sales
3	Deployment
4	Product
5	Technology Groups (later also Products and Projects)
6	Development
7	Research



This ordering is part of the model's presentation and should remain intact when the functions are represented or analyzed.

2.2 Functions are organizational building blocks

A function is not necessarily a separate legal entity, department or traditional cost center.

The model allows an organization to:

- have a particular function;
- not have a particular function;
- combine activities that might elsewhere be separate functions;
- have multiple organizational units performing activities associated with a function;
- allocate activities between functions according to the organization's actual operation.

The model therefore describes **what the organization does**, rather than prescribing how management must organize it.